Price

Price is a crucial variable of the marketing mix: it generates revenue, while product, promotion, and place yield costs. Pricing may also be the marketer's most potent tool because even minor tweaks affect returns.

How it works

To set the price of a product, marketers adopt a pricing strategy based not only on the actual cost of production but also on the perceived attractiveness of the product to consumers. If consumers think a product has a high value, they will be prepared to pay more for it, but if they believe the value of the product is low they will look for the cheapest price among competing products.

A business must also take into account the price charged by rival organizations, particularly in competitive markets. Setting a price above that charged by competitors can only work if the product is superior to others.

NEED TO KNOW

- **Price, value, and cost** Price refers to the amount a product sells for; value refers to the product's actual worth; cost is the amount that has been spent to manufacture the product

Pricing strategies

A number of different strategies can be used to determine the price of a product. Cost-plus pricing is a retail markup used by many companies to ensure a profit is made. For example, adding a markup of 50 percent to a product that costs $2 to make means that every unit will sell for $3, generating a $1 profit.

Pricing matrix: price vs. quality

A product's quality affects its price tag—the higher the quality, the more money consumers will pay for it—but marketers use strategies that play on the interaction between price and perceived quality.

5% increase in price is worth more than a 5% increase in market share

Low quality

Low price

Economy

- **High prevalence** Manufacture a product that is very similar to others in the same category.
- **Low price** Undercut competitors' pricing and gain a larger share of the market.
- **Minimal marketing** Keep the marketing and branding spend as low as possible.

High price

Skimming

- **High launch price** Charge more than usual in the short term while a product is seen as unique.
- **Correct timing** Set a higher price when the business has a temporary advantage in the marketplace, before competing products appear.
- **Price adjustment** Reduce the price once competitors enter the market, or to draw more customers.